



“Such retail realty investments point towards a long gestation period... Typically, a store like IKEA's in Navi Mumbai requires a cost of ₹12,000 per sq. ft just for land and construction”

ANUJ PURI

CHAIRMAN,
ANAROCK GROUP



“Players like IKEA coming in will accelerate the shift from the unorganised to organised sector, because consumers would be inclined to explore what all is available before making their decision”

SWAPNEEL NAGARKAR

SENIOR VICE PRESIDENT & BUSINESS HEAD,
GODREJ INTERIO



“...Promotional spend by brands like IKEA and Pepperfry is boosting consumers' interest for branded home furnishings. Now people are talking about furniture. Earlier, nobody used to talk about this”

ASHISH SHAH

CO-FOUNDER & CHIEF OPERATING OFFICER,
PEPPERFRY



“IKEA is clearly not our competitor. The design and style of their furniture, I feel, is not aligned with Indian consumers' preferences”

LOKENDRA RANAWAT

CO-FOUNDER & CHIEF EXECUTIVE OFFICER,
WOODEN STREET



“Eventually we would expand our local sourcing to all types of products and increase the share from 27 per cent. The long-term objective is to offer a more affordable range through economies of scale”

ERIK-JAN MIDDELHOVEN

HOME FURNISHING & RETAIL DESIGN
MANAGER, IKEA INDIA

Udaipur-based Wooden Street is on an expansion mode, too. The company, till recently, offered only solid wood furniture. Post-Covid-19, it offers particle boards due to rapid demand arising from the work-from-home culture. According to Lokendra Ranawat, Co-founder and CEO of Wooden Street, the ₹300-crore company has set a target of launching 300 outlets in three years. Currently, it has some 60 stores across 35 cities. “IKEA is clearly not our competitor. The design and style of their furniture, I feel, is not aligned with Indian consumers' preferences,” says Ranawat, who had been an IKEA consumer himself during his corporate stint in London.

According to him, in spite of some reduction in buying cycle, Indians continue to prefer lasting furniture while IKEA makes big bucks selling furniture to European customers, who tend to change their sofas and beds every Christmas. “Also, a large section of the consumers in Europe flock to IKEA because they are the cheapest there. But that's not the case in India, where thousands of local players would beat them fair and square when it comes to pricing,” he adds.

Additionally, Indian consumers' lack of interest in do-it-yourself culture and IKEA's remote store locations are major hindrances to its growth in India. As a result, Indian furniture majors argue, IKEA will find it difficult to crack the local furniture market like it has managed to do in Europe or the US. Pepperfry's Shah and Ranawat from Wooden Street say, while thousands may have thronged to IKEA's new stores immediately after their launch, they ended up buying accessories like kitchen knives or decorative plants. Not the furniture.